

Filed: January 18, 2023

**Annual Financial Report
For the Iowa City Community School District,
Johnson County, Iowa**

**Pursuant to Securities and Exchange Commission Rule 15c2-12
For the Fiscal Year Ended June 30, 2022**

Financial and Operating Data

General Obligation Debt

Sales, Services & Use Tax Revenue Debt

**The District's June 30, 2022 Annual Comprehensive Financial Report
has been filed separately with the Municipal Securities Rulemaking Board and is
incorporated herein by reference.**

PROPERTY VALUES

IOWA PROPERTY VALUATIONS

In compliance with Section 441.21 of the Code of Iowa, the State Director of Revenue annually directs the county auditors to apply prescribed statutory percentages to the assessments of certain categories of real property. The 2021 final Actual Values were adjusted by the Johnson County auditors. The reduced values, determined after the application of rollback percentages, are the Taxable Values subject to tax levy. For assessment year 2021, the taxable value rollback rate was 54.1302% of actual value for residential property; 89.0412% of actual value for agricultural property; 63.7500% of the actual value for multiresidential property; 90.000% of actual value for commercial, industrial and railroad property; and 100% of the actual value of utility property.

The Legislature's intent has been to limit the growth of statewide taxable valuations for the specific classes of property to 3% annually. Political subdivisions whose taxable values are thus reduced or are unusually low in growth are allowed to appeal the valuations to the State Appeal Board, in order to continue to fund present services.

PROPERTY VALUATIONS (1/1/2021 Valuations for Taxes Payable July 1, 2022 through June 30, 2023)

	<u>100% Actual Value</u>	<u>Taxable Value (With Rollback)</u>
Residential	\$9,300,103,337	\$4,926,276,626
Ag. Land	52,216,480	46,485,523
Ag. Buildings	3,260,660	2,903,337
Commercial	1,490,300,680	1,306,621,555
Industrial	93,157,419	83,036,198
Multiresidential	688,938,002	433,492,980
Railroads	17,782,847	16,004,564
Utilities w/o Gas & Electric	<u>36,546,418</u>	<u>36,546,418</u>
Gross valuation	\$11,682,305,843	\$6,851,367,201
Less military exemption	<u>(3,898,112)</u>	<u>(3,898,112)</u>
Net valuation	\$11,678,407,731	\$6,847,469,089
TIF increment (used to compute debt service levies and constitutional debt limit)	\$605,521,436	\$605,521,436
Taxed Separately: Utilities – Gas & Electric	\$251,615,028	\$78,221,927

Source: Iowa Department of Management.

2021 GROSS TAXABLE VALUATION BY CLASS OF PROPERTY ¹⁾

	<u>Gross Taxable Valuation</u>	<u>% of Total</u>
Residential	\$4,926,276,626	71.09%
Commercial and Industrial	1,389,657,753	20.05%
Multiresidential	433,492,980	6.26%
Ag. Land and Ag. Buildings	49,388,860	0.71%
Railroads	16,004,564	0.23%
All Utilities	<u>114,768,345</u>	<u>1.66%</u>
Total Taxable Valuation	\$6,929,589,128	100.00%

1) Gross Taxable Valuation includes Ag. Land, Ag. Buildings and all Utilities, but excludes Taxable TIF Increment.

Source: Iowa Department of Management.

TREND OF VALUATIONS

Assessment Year	Payable Fiscal Year	100% Actual Valuation	Taxable Valuation	Taxable TIF Increment Valuation
2017	2018-19	\$10,427,198,940	\$6,107,426,028	\$435,785,427
2018	2019-20	10,773,522,141	6,318,955,710	514,522,470
2019	2020-21	11,749,782,715	6,704,295,885	544,371,481
2020	2021-22	12,022,100,708	6,879,842,218	609,888,470
2021	2022-23	12,535,544,195	6,925,691,016	605,521,436

The 100% Actual Valuations, before rollback, and after reduction of military exemption, include Ag. Land, Ag. Buildings, TIF Increment and all Utilities. The Taxable Valuations, with the rollback and after reduction of military exemption, include Ag. Land, Ag. Buildings and all Utilities, but exclude the Taxable TIF Increment. Iowa school districts certify operating levies against Taxable Valuation excluding Taxable TIF Increment. Debt Service and PPEL levies are certified against Taxable Valuation including the Taxable TIF Increment.

Source: Iowa Department of Management.

LARGER TAXPAYERS

Set forth in the following table are the persons or entities which represent larger taxpayers within the boundaries of the District, as provided by the Johnson County auditor's office. No independent investigation has been made of and no representation is made herein as to the financial condition of any of the taxpayers listed below or that such taxpayers will continue to maintain their status as major taxpayers in the District. The District's mill levy is uniformly applicable to all of the properties included in the table, and thus taxes expected to be received by the District from such taxpayers will be in proportion to the assessed valuations of the properties. The total tax bill for each of the properties is dependent upon the mill levies of the other taxing entities which overlap the properties.

<u>Taxpayer</u> ¹⁾	<u>Type of Property/Business</u>	<u>1/1/2021 Taxable Valuation</u> ²⁾	<u>% of District's Total Taxable Valuation</u> ³⁾
Coral Ridge Mall LLC	Commercial	\$62,626,400	0.83%
Lattitude at River Landing	Multiresidential	48,789,300	0.64%
808 on 5 th LLC	Multiresidential	38,422,900	0.51%
City of Coralville	Commercial	35,391,100	0.47%
Hawk Landlords (IA) LLC	Multiresidential	29,376,100	0.39%
SHP V/Ryan Bridgewater LLC	Commercial	25,614,019	0.34%
Hy-Vee, Inc.	Commercial	21,419,700	0.28%
Old Town Investments LLC	Commercial	19,210,900	0.25%
The Eastlake Partnership	Commercial	15,355,200	0.20%
Villas on 4 th LLC	Multiresidential	14,058,800	0.18%

- 1) This list represents some of the larger taxpayers in the District, not necessarily the 10 largest taxpayers.
- 2) The January 1, 2021 Taxable valuations listed represents only those valuations associated with the title holder and may not necessarily represent the entire taxable valuation.
- 3) Calculated based on the District's total January 1, 2021 Taxable Valuation of \$7,531,212,452, which includes taxable TIF increment valuation and excludes ag land and building valuation.

Source: Johnson County Auditor's Office.

DEBT LIMIT

Article XI, Section 3 of the State of Iowa Constitution limits the amount of debt outstanding at any time of any county, municipality or other political subdivision to no more than 5% of the actual value of all taxable property within the corporate limits, as taken from the last state and county tax list. The debt limit for the District, based on its 2021 actual valuation currently applicable to the Fiscal Year 2022-23, is as follows:

Net 2021 Actual Valuation for Debt Limit Purposes	\$12,535,544,195
Legal Debt Limit of 5%	<u>0.05</u>
Legal Debt Limit	\$626,777,210
Less: General Obligation Debt Subject to Limit	<u>(166,785,000) ¹⁾</u>
Net Debt Limit	\$459,992,210

- 1) It has not been determined whether Sales Tax Revenue Bonds count against the District's constitutional debt limit. If Sales Tax Revenue Bonds were to count against the District's constitutional debt limit, the aggregate outstanding debt would increase by \$66,205,000 and the Net Debt Limit would be \$393,787,210.

Source: Iowa Department of Management, the District.

DIRECT DEBT

General Obligation Debt Supported by the Debt Service Levy

<u>Date of Issue</u>	<u>Original Amount</u>	<u>Purpose</u>	<u>Final Maturity</u>	<u>Principal Outstanding As of 06/30/22</u>
12/17C	\$58,955,000	School Buildings & Facilities	06/37	\$42,610,000
1/19	66,645,000	School Buildings & Facilities	06/38	58,940,000
2/20	65,925,000	School Buildings & Facilities	06/39	<u>62,470,000</u>
Total General Obligation Debt Subject to Limit				\$164,020,000

General Obligation Debt Supported by the PPEL Levy

<u>Date of Issue</u>	<u>Original Amount</u>	<u>Purpose</u>	<u>Final Maturity</u>	<u>Principal Outstanding As of 06/30/22</u>
12/14	\$9,430,000	School Buildings & Equipment	06/25	\$2,765,000
Total General Obligation Debt Subject to the Debt Limit				\$166,785,000

Source: The District.

Annual Fiscal Year G.O. Debt Service Payments Paid by the Debt Service Levy

<u>Fiscal Year</u>	<u>Principal</u>	<u>Principal & Interest</u>
2022-23	\$7,205,000	\$13,220,286
2023-24	7,445,000	13,163,936
2024-25	8,120,000	13,466,686
2025-26	8,505,000	13,445,686
2026-27	9,070,000	13,585,436
2027-28	9,445,000	13,532,986
2028-29	9,800,000	13,483,486
2029-30	10,125,000	13,423,836
2030-31	10,440,000	13,371,211
2031-32	10,775,000	13,359,186
2032-33	11,125,000	13,349,341
2033-34	11,455,000	13,336,654
2034-35	11,800,000	13,326,694
2035-36	12,160,000	13,333,146
2036-37	12,545,000	13,346,213
2037-38	9,325,000	9,734,625
2038-39	<u>4,680,000</u>	4,797,000
Total	\$164,020,000	

Annual Fiscal Year G.O. Debt Service Payments Paid by the PPEL Levy

<u>Fiscal Year</u>	<u>Principal</u>	<u>Principal and Interest</u>
2022-23	\$900,000	\$957,663
2023-24	920,000	959,663
2024-25	<u>945,000</u>	966,263
Total	\$2,765,000	

Source: The District.

LEVIES AND TAX COLLECTIONS

<u>Fiscal Year</u>	<u>Levy</u>	<u>Collected During Collection Year</u>	<u>Percent Collected During Collection Year</u>
2018-19	\$92,349,637	\$92,238,102	99.88%
2019-20	95,100,386	93,272,953	98.08%
2020-21	101,481,415	102,985,438 ¹⁾	101.48%
2021-22	104,277,094	103,160,294	98.93%
2022-23	105,515,933	---In Process of Collection---	

Taxes in Iowa are delinquent each October 1 and April 1 and a late payment penalty of 1% per month of delinquency is enforced as of those dates. If delinquent taxes are not paid, the property may be offered at the regular tax sale on the third Monday of June following the delinquency date. Purchasers at the tax sale must pay an amount equal to the taxes, special assessments, interest and penalties due on the property and funds so received are applied to taxes. A property owner may redeem from the regular tax sale but, failing redemption within three years, the tax sale purchaser is entitled to a deed which in general conveys the title free and clear of all liens except future tax installments.

- 1) Total collections for Fiscal Year 2020-21 are over 100% due to delinquent tax collections with no tax sales in June 2020 based on the Governor's emergency order related to Covid-19.

Source: Johnson County.

CURRENT STATEWIDE RECEIPTS OF THE TAX AND AVERAGE REVENUE PER PUPIL

<u>Fiscal Year</u>	<u>Projected Statewide Receipts</u>	<u>Statewide Enrollment</u> ¹⁾	<u>Estimated Statewide Revenue Per Pupil</u>	<u>Actual Statewide Revenue Per Pupil</u> ²⁾	<u>Actual Statewide Receipts</u>
2018-19	\$494,111,442	486,264	\$1,016	\$995	\$483,940,176
2019-20	516,580,430	487,652	1,059	1,037	505,593,619
2020-21	499,356,868	490,094	1,019	1,112	544,786,628
2021-22	540,481,659	484,159	1,116	1,229	594,840,684
2022-23	598,208,742	485,630	1,232	N/A	N/A

- 1) Prior October count.
- 2) Actual Statewide Revenue per Pupil is recalculated each November following the close of the fiscal year based on actual statewide receipts divided by Statewide Enrollment. Beginning with the October 2022 sales tax payment, the administration of local government sales tax distribution payments will change per legislation passed during the 2021-22 legislative session (Senate File 2367). The Iowa Department of Revenue will move away from the old "annual estimated payments" process and will begin making distributions based on actual sales tax receipts in the preceding month. July, August, and September 2022 will be the final months that will use estimated payments; any adjustments or reconciliations to those will be made by December 30, 2022.

Source: Iowa Department of Revenue.

ACTUAL PRIOR TAX, ACTUAL TAX AND PROJECTED TAX REVENUE

The following table presents the actual Prior Tax Revenue received by the District from the Fiscal Years ending June 30, 2019 through 2022 and the Projected Tax Revenue for the Fiscal Year ending June 30, 2023.

<u>Fiscal Year</u>	<u>Actual Prior Tax and Tax Revenue</u>	<u>Projected Tax Revenue</u>
2018-19	\$14,546,702	
2019-20	14,800,144	
2020-21	14,539,517	
2021-22	17,240,332	
2022-23		\$20,133,040 ¹⁾

- 1) Estimated, based on the Iowa Department of Revenue estimated statewide average of \$1,231.82, multiplied by the October 2021 certified enrollment for FY 2022-23 of 14,395, plus the September 2022 reconciliation payment in the amount of \$2,400,990.77.

Source: Iowa Department of Revenue and the District's Comprehensive Annual Financial Reports.

PROJECTED DEBT SERVICE COVERAGE

Presented below is a projection of the debt service coverage on the Bonds and Parity Bonds.

<u>Fiscal Year</u>	<u>Prior Tax Revenue</u>	<u>Max Annual Debt Service</u> ¹⁾	<u>Debt Service Coverage</u>
2018-19	\$14,546,702	\$10,782,589	1.35x
2019-20	14,800,144	10,782,589	1.37x
2020-21	14,539,517	10,781,933	1.35x
2021-22	17,240,332	10,673,197	1.62x
2022-23	20,133,040 ²⁾	10,673,197	1.89x

- 1) Represents the maximum annual debt service on all outstanding parity bonds.
2) Estimated, based on the Iowa Department of Revenue estimated statewide average of \$1,231.82, multiplied by the October 2021 certified enrollment for FY 2022-23 of 14,395, plus the September 2022 reconciliation payment in the amount of \$2,400,990.77.

Source: Iowa Department of Revenue and the District's Comprehensive Annual Financial Report.

School Infrastructure Sales, Services & Use Tax Revenue Debt

<u>Date of Issue</u>	<u>Original Amount</u>	<u>Purpose</u>	<u>Final Maturity</u>	<u>Principal Outstanding As of 06/30/22</u> ¹⁾
9/15	\$60,030,000	School Buildings	6/29	\$34,115,000
12/16	10,000,000	School Buildings	6/29	6,135,000
1/17A	11,185,000	School Buildings	6/29	6,860,000
8/17B	21,200,000	School Buildings	6/29	13,285,000
6/18	9,085,000	School Buildings	6/29	<u>5,810,000</u>
Total				\$66,205,000

- 1) On August 11, 2022, the District issued \$65,815,000 School Infrastructure Sales Services and Use Tax Revenue Bonds, Series 2022A. See Financial Obligation Incurrence or Agreement: Iowa City Comm School District – School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2022A filed with the Municipal Securities Rulemaking Board on August 11, 2022 for additional information.

Annual Fiscal Year Sales Tax Debt Payments

<u>Fiscal Year</u>	<u>Principal</u>	<u>Principal & Interest</u>
2022-23	\$8,525,000	\$10,628,772
2023-24	8,855,000	10,635,733
2024-25	9,200,000	10,643,961
2025-26	9,465,000	10,652,606
2026-27	9,745,000	10,656,577
2027-28	10,050,000	10,664,639
2028-29	<u>10,365,000</u>	10,673,197
Total	\$66,205,000	

ENROLLMENT

Listed below are certified enrollment figures, open enrollment figures, and projected enrollment figures for the District.

Total Certified Enrollment

<u>Count Date</u>	<u>Fiscal Year</u>	<u>Enrollment</u>
October 2018	2019-20	14,285.1
October 2019	2020-21	14,573.3
October 2020	2021-22	14,284.8
October 2021	2022-23	14,394.9
October 2022	2023-24	14,439.8

Open Enrollment

Students in Iowa are allowed to choose to enroll into and out of the District. The District has participated in an open enrollment plan supported by the State Department of Children, Families and Learning since its inception. The additional students are measured in terms of Weighted Average Daily Membership (WADM). According to the open enrollment program, the District's revenues per pupil are adjusted for any net gains and/or losses in enrollment. Listed below are the recent open enrollment numbers.

<u>Count Date</u>	<u>Fiscal Year</u>	<u>Enrolled In</u>	<u>Enrolled Out</u>	<u>Net</u>
October 2018	2019-20	173.6	394.2	(220.6)
October 2019	2020-21	184.2	381.0	(196.8)
October 2020	2021-22	184.0	381.8	(197.8)
October 2021	2022-23	285.9	321.8	(35.9)
October 2022	2023-24	303.6	345.1	(41.5)

Projected Enrollment

<u>Count Date</u>	<u>Fiscal Year</u>	<u>Cooperative Strategies Projected Enrollment</u>
October 2023	2024-25	14,515
October 2024	2025-26	14,590
October 2025	2026-27	14,590
October 2026	2027-28	14,590

Source: The District